



UNSHAKEABLE

Your Financial Freedom Playbook

TONY ROBBINS
(WITH PETER MALLOUK)



The Big “So What”

How do financial masters like Warren Buffett, Alan Greenspan and David Swensen win in financial markets, and what can we learn from them? Based on insights from 50 financial masters, **this book explains the rules of the financial game, the key players and their agenda, and how you can ride the financial storm to arrive safely at your desired destination.**



Introduction

Today's financial markets seem more volatile and uncertain than ever. Since the last financial crisis of 2008, the American stock market has been on a bull run, and people are anticipating an impending crash.

Over 7 years, Robbins interviewed some 50 financial masters, including self-made billionaires, legendary investors and the top financial minds, like Warren Buffett, Alan Greenspan, David Swensen, Ray Dalio, Jack Bogle, Mary Callahan Erdoes, T. Boone Pickens, Carl Icahn and John Paulson. This culminated in his earlier book “*Money: Master the Game*”. This book, published in 2017, **zooms in on the current market fears and realities, and what the average person can do to build your financial freedom.** While the book is US-centric, the ideas are applicable to anyone interested to improve your financial future and retirement plans.

Being Unshakeable



What if you knew that no matter what happens to the economy, you'll be financially secure, and have more than enough for yourself, your loved ones and your contributions? **That deep sense of peace and freedom is what being “unshakeable” means.** It gives you control and puts you in the driver seat.

KEY QUOTES

“The decisions you will be equipped to make after reading this short book can bring you a whole new level of inner peace, fulfilment, comfort, and financial freedom that most humans only dream of achieving.”

“What most people really want, regardless of how much money they have today, is freedom.”

“Money is only a tool. It will take you wherever you wish, but it will not replace you as the driver.”
- Ayn Rand

“It's not just a matter of money. It's a state of mind. When you're truly unshakeable, you have unwavering confidence even amidst the storm.”

In this book, Tony coaches you to make sense of the financial markets, and develop an action plan to get you to your goals. This summary is presented in 3 parts:

- Know the Rules
- Your Unshakeable Playbook
- Mastering the Psychology of Wealth

Part 1: Know the Rules

To win the game, you must know the rules. In this segment, we'll look at several important financial concepts and facts.

Financial Markets 101

 **Compounding** is a powerful force to leverage for your financial goals. Let's look at 2 scenarios:

Person A	Person B
Invests \$300 a month for 8 years (19 to 27 y.o.) at 10% compound returns per year.	Invests \$300 a month for 38 years (27 to 65 y.o.) at 10% compound returns per year.
Total capital invested: \$28,800 Amount at 65 y.o.: \$1.86 mil	Total capital invested: \$140,000 Amount at 65 y.o.: \$1.59 mil

- Simply by starting earlier, you can harness the power of compounding to build a larger nest egg with a fraction of the capital. You can retire comfortably even with a small income.
- The key is to pay yourself first. Set aside, say, 10% of your monthly income for your financial freedom fund, before you pay for other expenses. Even if you're struggling financially, you can start with 3%, then gradually increase it to 10% or even 15% over time.
- As a rule of thumb, to be financially secure, you should aim to retire with 20x of your current income, i.e. if you earn \$100,000 a year, you should aim for \$2mil retirement funds.

KEY QUOTES

"You can't win this game unless you have the emotional fortitude to get in it and stay in it for the long term."

"You're never going to earn your way to financial freedom. The real route to riches is to set aside a portion of your money and invest it so that it compounds over many year."



Here are several basic terms/ concepts to know:

- Terms: If a market falls by $\geq 10\%$ from its peak, it's called a "correction". If it falls by $\geq 20\%$ from the peak, it's called a "bear market".
- There are 3 main types of funds:
 - o Hedge funds are private funds for high networth clients. Fund managers usually charge 2% management fees and a profit share (of say, 20%).
 - o Mutual funds are portfolios of stocks, bonds or assets, that are available to anyone. They form the majority of funds in the market. Such funds are actively managed by professionals, who charge fees for their services, supposedly to deliver better-than-market returns. However, we'll show later how 96% of such funds are actually underperforming.
 - o Index funds are public funds with no "active" managers. They simply buy and hold all the stocks in an index, e.g. all 500 stocks in the S&P 500 index.

Know the 7 "Freedom Facts"



These 7 facts will help to free you from much of the irrational fear and anxiety about financial markets.



Corrections happen annually on average. Since 1900, there has been about 1 correction per year, lasting 54 days each, on average. The average correction was 13.5% (over the last 100 years) or 14.2% (from 1980-2015).



Less than 20% of corrections become bear markets, i.e. 80% do not become bear markets. Thus, corrections are a routine part of the financial markets, and are generally no cause for alarm.



Despite short-term dips, the stock market always rises in the long term. Despite an average 14.2% annual correction and major events (like the Gulf wars and 9/11), the US market showed positive returns for 27 out of the last 36 years. It's hard to be sure any stock or company will do well in the

KEY QUOTES

"The biggest danger isn't a correction or a bear market, it's being out of the market."

"The problem is, most funds do a terrific job of charging high fees but a terrible job of picking successful investments."

"The last thing you and I want is to make fear-based financial decisions."

"Once you recognize the patterns in the financial markets, you can adapt to them, utilize them, and profit from them."

*"Prediction is very difficult, especially about the future."
- Niels Boh*

long term, but it's safe to assume the stock market will increase in the long run so long as the economy continues to grow and expand.



No one can steadily predict if the market will rise or fall. For example, Dr. Roubini was famous for predicting the 2008 financial meltdown. But, he also incorrectly predicted a recession every year from 2004 to 2007! In the book, Robbins lists many examples of the market going in the opposite direction of "expert forecasts." The good news is, you don't need to predict the market to win. You just need to capture the natural market growth.



Historically, Bear Markets occurred every 3-5 years. There were 34 bear markets in 115 years (from 1900-2015). In less than a third of these bear markets, the index fell by more than 40%.



Bear markets become bull markets. Every bear market in US history has been followed by a bull market, including the 2008 financial crash. Since stock markets look at tomorrow (not today), the lowest point of consumer confidence is always a sign that the market will pick up. However, this may not hold true for all countries—Japan, for instance, never fully recovered to the Nikkei peak after nearly 3 decades since the 1989 crash.



The greatest risk is to be out of the market. JPMorgan found that 60% of the best US market days over the last 20 years happened within 2 weeks of the 10 worst days. In the book, Robbins illustrates how your returns could be greatly reduced just by missing the top trading days. Since you can't predict the market and get in/out successfully, you're better off staying in the market, and tapping on the power of compounding.

Know Your Costs



In the book, Robbins explains why you may be losing huge amounts of your investment to funds that overcharge and underperform.



Fees can destroy 2/3 of your gains. Most actively-managed funds charge about 2% p.a.—these add up to massively erode your gains. At 7% compounded returns, \$1 should become \$30 in 50 years. But, with 2% lost each year, there's less to compound, and you end up with only \$10. In short, you lose

KEY QUOTES

"One of the greatest lessons I've learned from all these money masters is that you don't have to predict the future to win this game."

"The market generally rises over the long run—even though we hit a huge number of potholes along the way."

"Financial winter is always followed by spring."

"One of the most fundamental rules for achieving long-term financial success is that you need to get in the market and stay in it, so you can capture all of its gains."

"If you stay in the market long enough, compounding works its magic, and you end up with a healthy return—even if your timing was hopelessly unlucky."

"When it comes to your finances, ignorance is not bliss."

2/3 of your gains, despite bearing 100% of the capital and risks.



In fact, funds can cost more than 2% p.a. due to taxes and other hidden costs.

- Unless the fund is in a tax-deferred account, it's taxed every time the fund managers sell stocks at a profit. The taxes could be as high as 30%; that's why most funds show their pre-tax returns (rather than the lower post-tax returns).
- The 401(k) plans in the USA also come with many other hidden fees and charges (which we'll touch on later). A Forbes article showed that the true cost of a mutual fund could be 3.17% a year (for a non-taxable account) and 4.17% (for a taxable account).



A study of 203 funds (each with $\geq$ \$100mil in assets) revealed that, from 1984-1998, only 4% of the funds actually beat the S&P 500 index. In short, 96% of the fund managers didn't add value, despite charging high fees. Why is that?

- Fund managers aren't really better at predicting the markets than the layman. Instead, each time they trade a stock, the brokerage firms charge a commission for the transaction, and profits may be taxed.
- Fund managers tend to keep some cash on hand in case good opportunities surface, but this means opportunity cost.



Robbins recommends that you buy index funds instead. Such funds include every stock on the index, thus they are diversified, conduct fewer trades, don't require costly fund managers, and the cash is almost fully invested at all times.

- Index funds typically cost only 0.05%, which is 60x less expensive than an actively-managed fund with 3% fee p.a. At the same compounded returns over 30 years, \$100,000 will grow to \$865,000 in an index fund, but only \$548,000 in an actively-managed fund.
- Even Warren Buffett himself has instructed that the trust money for his wife is to be invested in low-cost index funds after his death. So why not you and I?

KEY QUOTES

"We can't control what the markets will do, but we can control how much we pay for our investments."

-John C. Bogle

"It turns out that the professionals aren't really any better at predicting the future than the rest of us."



The US' 401(k) plan was created in 1984 to allow tax-deductible contributions to a retirement account. Unfortunately, this has been exploited by financial firms, at Americans' expense.



Until 2012, financial firms weren't required to disclose how much they charged clients. Even today, disclosure documents are still so complex that it's hard to decipher the details. 71% of Americans think they aren't paying any fees for their 401(k) plan, while 92% don't know how much they are paying.



A senior policy analyst at Demos examined 20 funds in his 401(k) plan and found that, in addition to the 3.17% fees mentioned by Forbes, there were 17 other fees and costs. He estimated that an average worker who earned \$30,000 a year and saved 5% of his income would lose more than \$154,000 in lifetime fees.

- Most funds listed in the 401(k) plan are actively-managed funds that charge recurring fees, or even "front-end loads" of up to 3%. These erode your invested capital.
- Low-cost index funds aren't typically included, or are included with a huge mark-up (e.g. charges of 1.68% p.a. when the cost is only 0.05%, and/or with additional sales loads).



During the Obama administration, the Congress tried to force the 401(k) providers to act in their clients' best interests, but the regulations had nominal impact, and may be reversed under the Trump administration. Teachers, nurses, and non-profit employees could be even worse off, as their 403(b) plans aren't protected by the ERISA (Employee Retirement Income Security Act of 1974).



Robbins found that his own company's 401(k) plan cost 2.17% in annual fees. He switched to Abk, which only charged 0.65% a year, saving 70% of the original annual expenses. Robbins recommends that you analyse your plan at www.ShowMeTheFees.com, and switch (or encourage your employer to switch) to better options if need be.

KEY QUOTES

Who can you really trust?



Financial advisors (FAs) can offer great value in your investments, taxes, insurance etc. The challenge is to identify the ones you can trust. **Learn to distinguish between 3 types of advisors:**



Brokers: 90% of all FAs in America are brokers, i.e. they are paid commissions to sell products. They have to ensure their recommendations are “suitable” for the clients, but need not act in the clients’ best interest. Hence, it’s common for brokers to recommend products with higher commissions.



Registered Investment Advisors (RIAs). Out of more than 300,000 FAs in the US, only 10% are RIAs. RIAs have a fiduciary duty and legal obligation to act in their clients’ best interests at all times. They don’t earn a commission, but charge a flat fee for financial advice, or a percentage of the clients’ assets under management.



Dually Registered Advisors. Unfortunately, most RIAs are registered both as brokers and fiduciaries. This means they can still make commissions while charging an advisory fee. In fact, some advisory firms have 2 arms—an RIA service and a sister company (under a different brand) that offers mutual funds. In such cases, the RIA tends to be biased toward the sister company funds.

The best option is an RIA who’s a true fiduciary—someone who’ll put your interest first, and has the necessary skills/experience. Use these 7 questions to filter your FAs:

- Are you a Registered Investment Advisor? [If “no”, walk away.]
- Are you/your firm affiliated with a broker-dealer? [If “yes”, walk away.]
- Does your firm offer proprietary mutual funds or separately managed accounts? [If “yes”, be extra-cautious.]
- Do you/your firm get third-party compensation for recommending specific investments? [If “yes”, be extra-cautious.]
- What’s your philosophy on investing? [Make sure your philosophies are aligned (e.g. if they believe in stock-picking vs

KEY QUOTES

diversification), and find someone you can relate to on a personal level.]

- What financial planning services do you offer beyond investment strategy and portfolio management? [Ideally, the FA can also help you to save money on mortgage, insurance, taxes etc. as your wealth grows. Check their credentials to ensure they have the right skills, e.g. certified financial planners, or estate planning attorneys.]
- Where will my money be held? [An RIA should use a third-party custodian to hold your funds. Look for a strong track record for other clients like you.]

Robbins recommends Creative Planning (which is run by co-author, Peter Mallouk, and for which Robbins is a board member and Chief of Investor Psychology) as a good FA option to consider.

Part 2: Your Unshakeable Playbook

The Core Four

Success leaves clues. By modelling the patterns of successful people, you can shorten your learning curve. **From his interviews, Robbins found 4 key principles that all great investors use to guide their investment decisions.** He calls them the “Core Four”.

The principles may seem simple, but the challenge is to actually apply them, and **enter an investment only if it meets all 4 criteria.**



Don't Lose. It's much harder to make back what you've lost than to protect your investments. The best solution is to diversify your asset allocation, such that you're ok even if the market moves in an unexpected way. Only consider an investment if you can minimize the downside.



Asymmetric Risk/Reward. “High-risk, high-return” is an investment myth. The smartest investors look for opportunities where the rewards greatly outweigh the risks. For instance, Richard Branson started Virgin Atlantic Airways by negotiating a deal that allowed him to return the planes if the business didn't work out—this minimized his downside

KEY QUOTES

“The key is to recognize these consistently successful patterns and to model them... These patterns provide the playbook for your success.”

“The more money you lose, the harder it is to get back to where you started.”

“These winning investors always seek to risk as little as possible to make as much as possible. That's the investor's equivalent of nirvana.”

while preserving his upside. You can apply this principle by investing in undervalued assets during times of extreme gloom and pessimism. That's one of Warren Buffett's strategies, though he typically restructures his investments to further improve the asymmetry.



Tax Efficiency. Taxes can easily wipe out 30% or more of your investment returns. Rather than look at pretax returns, you should maximize your net returns. As a rule of thumb, stay away from actively-managed funds that trade a lot.



Diversification. Don't put all your eggs in one basket. You can diversify across asset classes (e.g. real estate vs stocks), within asset classes (e.g. different types of stock), and across markets, countries, currencies, or time.

Prepare for the Bear Market



Surviving a bear market is 90% preparation and 10% staying calm during the storm. Co-author Peter Mallouk shares how Creative Planning handled the 2008 crisis, and grew the firm's assets-under-management from \$500mil in 2008 to more than \$1.8mil in 2010, and \$22 bil in early 2017. You can use the same approach and principles to prepare for and survive the next bear market.



Customize your asset allocation to meet your goals, based on your unique financial situation, and to minimize your tax liabilities. Your portfolio could include these components:

- Stocks are basically partial ownership of businesses. In the short run, stocks are completely unpredictable. But in the long-run, economic growth always drives up stock prices. Thus, the key is to live within your means, so you won't be forced to sell your stocks during a bear market to free up cash.
- Bonds are money that you loan to a government, company or other entity. Your returns will depend on the risk and duration of the loan. Bonds are less risky, but the yields are also generally low. During the 2008 crisis, Creative Planning sold some of the clients' bonds to buy stocks.

KEY QUOTES

"It's not what they earn that counts. It's what they keep. That's real money."

"You can never know what the stock market will do. But that uncertainty isn't an excuse for inaction."

"Bear markets are either the best of times or the worst of times, depending on your decisions."

- Peter Mallouk

"A simple rule dictates my buying: be fearful when others are greedy, and be greedy when others are fearful."

- Warren Buffett

- Alternative investments are anything other than cash, stocks or bonds, and can include: Real Estate Investment Trusts (REITs), Private Equity Funds, Master Limited Partnerships, Gold, Hedge Funds.



Creative Planning uses these “Core and Explore” principles:

- Asset allocation drives returns. Work with a qualified advisor to customize your mix of stocks, bonds, and alternatives. Diversify your portfolio by investing in different asset classes, so you balance out the risk characteristics and rates of return, to get your overall desired returns at an acceptable risk level.
- Always have a financial cushion, so you won't be forced to sell your stocks at the wrong price. Creative Planning uses the “rule of seven”, i.e. ideally have 7 years of income set aside in income-producing investments (e.g. bonds and MLPs), so you can use these assets in the short term if the stock market crashes.
- Use index funds for the core of your portfolio, and explore other stocks and alternatives at the margins.
- Rebalance your portfolio (say, annually) to keep it to your original asset allocation.

Putting the above in place will allay some of your fears and prepare yourself to weather a bear market.



Part 3: Mastering the Psychology of Wealth

Neuroscientists found that the parts of our brain that process financial losses are the same ones that deal with mortal threats. During a financial crisis, our fight-freeze-flee instinct kicks in and we sabotage our own financial goals. **The solution is to establish systems to neutralize our natural human tendencies**, e.g. Paul Tudor Jones sets up checklists and systems to ensure he sticks to his success formula: only go for hard trades with asymmetric rewards/risk of 5:1, and stick to his target entry/exit prices.

KEY QUOTES

“The short-term outlook may look dire, but the stock market always rebounds.”

“The single biggest threat to your financial well-being is your own brain.”

“Psychology either makes you or breaks you, so it's imperative to have a robust system that enables you to stay on target.”



Positive Biases. Humans find evidence to support what we already believe (confirmation bias) and place more value on what we already own (endowment effect). To avoid biases toward stocks/funds that we like/own, seek differing opinions from qualified people. Ask questions like: What am I missing? What's the downside? Who else can offer a deeper perspective?



Recency Bias. Investors tend to assume the recent trends will continue into the future. Thus, they tend to buy high during a bull market and sell low during a bear market. To avoid poor, emotional choices, create a list of simple rules, so you can rebalance and stay on target when you're emotional.



Overconfidence. We tend to overestimate ourselves, including our ability to predict the future or pick the right stocks. Be honest with yourself—acknowledge that you're unlikely to outwit the top investors or beat the market. Instead seek to capture the market returns and invest in index funds instead.



Greed & impatience. We've explained why long-term compounding is the smartest way to invest. Yet, we fall for media hype and take gambles in hope of quick gains. Short-term speculations always lose out to long-term investing. Guy Spier recommends that you stop watching the market and financial news daily; instead, check your portfolio only once a year, so you'll maintain a long-term focus.



Home bias. We tend to invest more in what we're familiar with, e.g. our own country or industry. Diversify broadly into different asset classes and countries. Write down why you own what you own, as a reminder to yourself when things look less rosy.



Negative Biases. Humans tend to recall negative experiences more vividly than positive ones (negativity bias), and we feel twice as much pain from losses than pleasure from gains (loss aversion). During market turmoil, we're flooded by fear of potential losses. To overcome this, be prepared—put the above measures in place, and have a seasoned FA who'll keep you on-track during tough times.

KEY QUOTES

"Investors project out into the future what they have most recently been seeing."
- Warren Buffett

"By admitting to yourself that you have no special advantage, you give yourself an enormous advantage!"

"The best way to win the game of investing is to achieve sustainable long term returns."

"The single best way to handle market turmoil—and the fears it can trigger—is to be prepared for it."



Money is just the means to an end. Fundamentally, all of us desire an amazing life; we want to be rich not for money per se, but for the *emotions* associated with money, e.g. freedom, respect, security. Robbins ends the book by sharing how we can achieve both financial and emotional wealth, by mastering 2 additional skills:



Achievement (mastering your external world):

- When you focus fully on something, your brain will find a way to help you achieve it.
- Take massive action, and refine your approach to find an effective strategy. Studying role models speeds up your learning.
- The more you're grateful for Grace (or luck/God) in your life, the more it flows to you.



Fulfilment (mastering your internal world):

- Progress: To be happy, you must keep growing.
- Give: The key to fulfilment is to satisfy our inherent desire to contribute.

In fact, there's one decision that you can make to start transforming your life this instant: choose to be in a Beautiful State of mind (where you're alive, in harmony with yourself and feel positive emotions like love, joy, gratitude, ease, and fun), rather than a Suffering State (where you're stressed, worried, frustrated, fearful etc.).

- Our suffering is triggered by thoughts of loss (or potential loss), having less of something we value, or believing we can never have something we want (e.g. love, respect).
- You can choose a beautiful state of mind, simply by shifting the focus of your thoughts.
 - 90-second rule: Once you catch yourself having negative thoughts and tension, take a breath, step away from the situation, and focus instead on something (anything) that you appreciate. Don't allow the negative thoughts to fester.

KEY QUOTES

"Real wealth is emotional, psychological, and spiritual."

"Wherever your focus goes, your energy flows."

"The more you acknowledge grace in your life, the more you seem to have it!"

"Everything in life either grows or dies."

"I can tell you the secret to happiness in one word: progress."

"If you make the decision to master your own mind, you'll be mentally equipped to handle whatever challenges come your way."

"Take all your negative thoughts and all of your negative emotions, trade them for appreciation, and your whole life changes in an instant."

- o Use the 2-minute gratitude meditation to transfer your negative charges to positive charges. A guided recording of the 7-step meditation is available at www.unshakeable.com.



Other Details in the Book to Look out For

In the book, Robbins offers many illustrations and examples to reinforce his message. He also recommends additional resources such as:

- Get free podcasts and videos at www.unshakeable.com, including a free mobile app to help you work out how much you need to save and invest to reach your financial goals;
- Analyze your 401(k) plans and fees at Abk's website www.ShowMeTheFees.com; and
- Get a non-obligatory assessment from one of Creative Planning's wealth managers at www.getasecondopinion.com, to see if your current advisor is indeed working in your best interest.

About the Authors



Anthony ("Tony") Robbins (born 1960) is an American businessman, best-selling author, and philanthropist. He's an authority on the psychology of leadership, negotiations and organizational turnaround, and has served as an advisor to leaders around the world for more than 38 years. He has also created the #1 personal and professional development program of all time, and more than 4 million people have attended his live seminars.

He has been honored by Accenture as one of the "Top 50 Business Intellectuals in the World"; by Harvard Business Press as one of the "Top 200 Business Gurus", and he was recently named in the top 50 of Worth Magazine's 100 most powerful people in global finance. For more details, visit www.tonyrobbins.com.

KEY QUOTES

"I truly believe that success without fulfilment is the ultimate failure."

"Remember: money doesn't change people. It just magnifies who they already are."

"If you fail to master your own psychology, you may ultimately become the victim of a costly form of financial self-sabotage."